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ASPER BUSINESS CASE COMPETITION

ASPER SCHOOL OF BUSINESS

Dr. Lukas Neville under supervision of Judith Jayasuriya has written this case solely for the Asper Business Case Competition (ABCC) 2025. The author has no intention to comment on or evaluate the handling of managerial decisions within the AROW Global. © 2024, Lukas Neville. Photocopying, transmitting, distributing or reproducing this case in any form or by any means is strictly prohibited, except with express permission.

AROW Global:
Looking for the Next Big Idea

Case Briefing

You are asked to **identify an opportunity involving new products, new sectors, and/or new markets that will sustain the growth of AROW Global.**

> *"We've succeeded in the past because we provide our customers with exceptional value and solutions they can't find elsewhere. In our two largest business lines, we have 80% and 90% market share and healthy margins. We have great manufacturing, engineering, and design talent. But this year, we'll have flat growth after a long stretch of easily exceeding our growth targets. We need to think about adding new lines of business – new products, new sectors, new clients, new markets. We can't rest on our laurels."*
> *– Elliot Codispodi, General Manager, AROW Global.*

Your response to this case challenge should include:

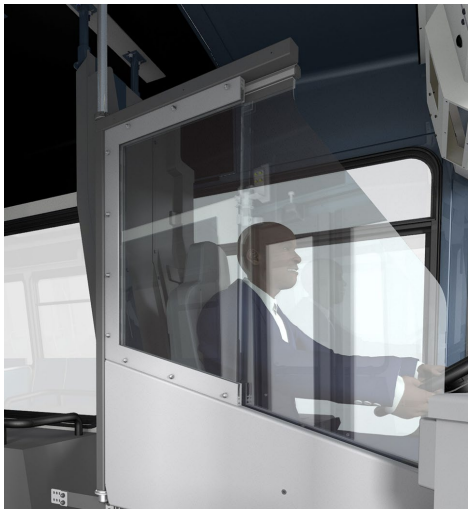
1. An identified market, industry/sector, or product opportunity (or all three) for AROW's expansion. The target margin for this opportunity is 40%, and the size of the opportunity should be between no smaller than $10M in annual revenues, with a preference for a $30-40M market. The opportunity should be cash flow positive within the first 3 years.

2. A go to market strategy for acting on this market opportunity. AROW can spend $4-5M in the first year to begin acting on your strategy. Beyond this initial investment, the costs of pursuing this opportunity must be covered by new revenues generated by this opportunity, or, otherwise, you must accompany your plan with a realistic debt financing strategy.
3. A clear fit with AROW's existing capacities and expertise. If you depart from their B2B model or your strategy requires complex logistics beyond AROW's current capacities, you will need to provide a road map for them developing the necessary talent, partnerships, or capabilities.
4. A plan for validating this market opportunity, ideally with steps to validate customer demand and test it through piloting, trials, or test markets.
5. Budget estimates and financial predictions. Full financials are beyond the scope of this case, but you need to convince the decision-makers of the feasibility of the opportunity by presenting credible estimates of key expenses and likely revenues.

The primary focus of your presentation should be the opportunity itself. While operational plans and the details of execution are useful, what they are principally hoping for is an interesting, creative, and convincingly justified idea or market opportunity the firm may not have previously considered. Your focus should be primarily on the opportunity rather than the details of execution. The logic, fit and potential of the opportunity should be emphasized. Financials and implementation help enhance the perceived feasibility of the idea, but this is secondary to the idea/opportunity itself.

You will submit a **one-page executive summary** (Microsoft Word document) of your proposal for the judges to review prior to your presentation. The format of this one-pager is entirely up to you, but it is important that it provide as clear, concise, and complete a summary as possible so that your judges understand the idea before your presentation begins. When designing the one-pager, please consider that it will be printed in black and white. The judges will have 10 minutes to review this document before you present. When presenting, you will only have **3 minutes** of "protected time" to pitch the idea and **one PowerPoint slide**, before the boardroom Q&A discussion begins, so the clarity of this summary and pitch is very important.

About AROW Global



Established in 1965, AROW Global specializes in the design and production of window systems and driver protection barriers for heavy-duty vehicles, including transit buses and service vehicles. The company operates manufacturing facilities in Winnipeg, Manitoba, and Mosinee, Wisconsin, and owns a glass factory, Techni-Glass, in Surgoinsville, Tennessee. AROW is owned by Anvil Management, a part of the Price Group of Companies, but is independently managed. AROW has usually been given 10% CAGR year-over-year sales targets to meet. Recently, they have exceeded 20%, handily beating their target. With safety concerns rising among many transit authorities, the firm took a dominant position in the fast-growing market for driver protection systems (DPS). But this year, in part because their growth market in driver protection has matured, sales growth is forecast to be flat. The firm's leadership believes that identifying new market opportunities is central to meeting their parent firms' sales growth expectations.

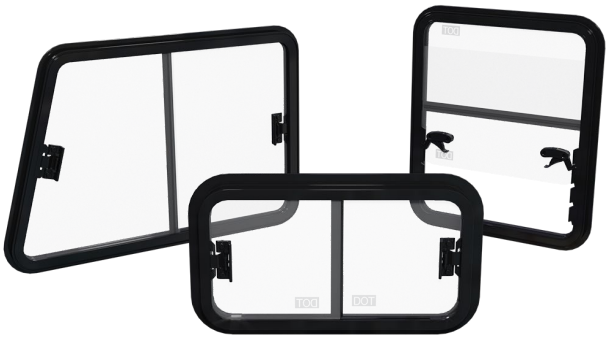
AROW's three current business lines are mass transit, off-road and fleet vehicles, and metal fabrication.

Mass Transit

AROW manufactures framed and flush window systems for buses and other transit vehicles. It has a dominant position in the market for configurable driver protection systems, having captured nearly 90% of the market. These shields and enclosures can be fitted into buses as they are manufactured or retrofitted into existing fleets. The driver protection systems are customizable to fit various vehicle platforms and provide drivers with both safety and reduced noise. The company sells these systems to bus manufacturers and part suppliers like New Flyer Industries and NFI Parts. It also offers retrofitting to clients like BC Transit, which outfitted 650 of its buses, articulating buses, and double-decker buses with doors that protect drivers from attacks.

AROW's framed window systems, such as the Evolution Series, offer features like graffiti protection and rapid-replacement glazing (one model has a "sacrificial protection shield", which can be replaced in less than a minute if broken or damaged). The flush window systems, branded as Storm-Tite, are designed for aesthetic appeal and durability.

Off-Road and Fleet Vehicles



AROW Global also manufactures high-quality window systems for fleet vehicles, including off-road and service vehicles. Their Envision window series is designed to be both functional and visually appealing, with three product lines built to handle tough conditions with features like advanced water management systems. These windows are used for operator cabs in excavators, loaders, and other construction vehicles, along with service trucks and vans.

Metal Fabrication

AROW provides custom metal fabrication services and products for industries including automotive, electrical-mechanical, transit, and agriculture. Their capabilities include precision metal cutting using CNC (computer numerical control) laser technology, which allows for highly accurate cuts and shapes. They also provide welding services, including MIG (metal inert gas), TIG (tungsten inert gas), and resistance welding, suitable for materials like steel, stainless steel, and aluminum.

AROW Global's facilities are equipped for both small and large-scale projects, handling everything from simple to complex assemblies. Additional services include finishing options such as anodizing (a protective coating process), sanding, painting, and powder coating. The company also offers forms and

stamping, kitting (bundling individual parts into ready-to-use kits) and JIT (just-in-time) services to support efficient assembly line operations.

Talent

The company employs 130 people In its Manitoba plant, and 280 in its Wisconsin facilities. Their manufacturing lines operate in three shifts from Monday to Friday, with the ability to add more capacity through weekend overtime. Their manufacturing employees in Manitoba are unionized and are represented by SMART Local 511. AROW employees are provided with employer-paid benefits, an EAP, retirement benefits (a 401k for US employees and a defined-contribution pension for Canadian employees), among other benefits. The firm has been very successful in recruitment and talent management and has access to strong local talent pools in both Winnipeg and Mosinee, should your proposed solution require additional staffing.

The firm's Tennessee glass factory employs another 120 people, and operates in a 100,000 square foot manufacturing facility, where it provides more than 50 glass types to clients in a range of industries, from basketball backboards to restaurant sneezeguards.

Competitive Landscape

While AROW has a preference for open "blue ocean" markets rather than crowded and competitive red-ocean ones. In its current markets, it competes for bus windows and driver protection system sales with Ricon, who makes up almost all of the balance of the market not held by AROW. Ricon, a subsidiary of Wabtec based in San Fernando, California, is primarily focused on mobility solutions like wheelchair lifts and ramps for buses. A third firm expected to enter the DPS and bus markets is Lippert. Based in Elkhart, Indiana, Lippert's $3.8B in annual revenues is currently generated primarily from the recreational vehicle market.

In its metal fabrication market, AROW faces substantial local competition, with Champ Industries and Malach Metal as its main competitors. *"In this space, we try to look for value-added opportunities for*

clients like MacDon", Codispodi describes. *"There's a lot of potential here, but it needs to be the right fit with good margins and volume."* AROW sees its differentiators as its customer service, and its state-of-the-art equipment, which together allow them to be competitive on both price and quality.

Capabilities and Considerations

"Being part of Price Industries and Anvil Management has been important to us in terms of capital investment," Codispodi explained. The range and quality of equipment is considered an important distinguishing factor for AROW in its markets.

We share the information above primarily for background and context. The focus of your recommendation should be identifying a product or market opportunity, not delving into the specific technical details of manufacturing. If an idea would require equipment or machinery that AROW does not currently have, Codispodi notes, *"we would be open to adding equipment if it fits with our business aspirations and has a justifiable ROI."* Again, the list provided is just for you to better understand AROW's capabilities, not to require you to provide fine-grained manufacturing process details.

Key capabilities and equipment
Metal fabrication capacity for thicknesses ranging from 0.03 to 0.75"
Metal sheet laser cutting (aluminum, aluminum with film, stainless steel, Galavaneal), with equipment including Amada Ensis and Regius fiber laser cutting systems and a Trumpf Trumatic 3020 CO2 laser cutting machine
Metal sheet forming for products like brackets, sheet metal casings, and door panels, using press brakes including an Accupres Edge
Metal sheet stamping and forming, including a 400 ton Cincinnati and Sutherland hydraulic press.
Metal sheet punching, milling, **and machining** using a router with 50x40 inch capability, a DNM Doosan DNM5700 vertical machining centre, and a MIDACO pallet changer
TIG, MIG, and spot welding of aluminum, steel, and stainless steel
CNC vertical machining of aluminium, steel, plastic, stainless steel, copper and bronze, including milling, pocketing, drilling and tapping, using a Prototrak DPMSX CNC vertical mill
Plastic sheet cutting/routing for acrylic shields, polycarbonate sheets, ultra-high molecular weight

polyethylene (UHMW) and nylon, using an AXYZ Infinite CNC router. The Doosan vertical machining centre, Prototrak vertical mill, and MIDACO pallet changer are also used in engineering plastic machining.
Aluminum extrusion, including cutting (including straight and miter cuts at different angles), machining (for items up to 205 inches in length like bus rails), and bending (for items like window frames). Available equipment includes a Zigma-06 AP miter saw, a Mecal Ariel 4A CNC processing center, and a Horn HMT 2.0 bender.
PEM insertions (threaded fasteners), using a PEMSERTER Series 4 press.
Metal painting and anodizing
Window assembly and testing

AROW has a well-developed set of supplier networks. Again, the exact details of the supply chain and value chain are likely outside of the scope of your proposal, but this information is provided for context and background.

Materials:	APEL Extrusions*, Crystal Finishing, Ryerson, Samuel, ASA Alloys
Fasteners:	Clarpcorp, Endries, Fastenal
Rubbers/Gaskets:	General Windows, Argus
Glass:	Techni Glass*, Prelco, Trulite
Equipment Suppliers:	Amada, Trumpf, Cincinnati, Mecal, Doosan, ITW Welding, Praxair, Sutherland
Subcontractors:	SCT Welding, Nielson Machining, Forte Tool and Die
Painters:	ACS Powder Coat, Quickcoatings, Performance Powder Coating
Anodizing:	Price Industries Inc*, Linetec

** denotes firms that are owned by AROW or that are subsidiaries of Anvil Management.*

The Challenge

You are asked to **identify an opportunity involving new products, new sectors, and/or new markets that will sustain the growth of AROW Global.**

While AROW's key markets have been agriculture and transit, they are looking for new opportunities. Their driver protection systems, for instance, was highly profitable, responded to an acute and immediate customer need, and had few serious rivals. *"Of course, we're going to continue defending these core markets by continually improving our products,"* explained Codispodi, the firm's GM. *"But we need to*

think about what other markets we could compete in, what other products we could launch, and how we could use our capabilities to meet otherwise unmet customer needs."

To that end, AROW has been collaborating with partners to identify new opportunities, including products like windows for construction vehicles. Recently, the firm worked with architecture students to rethink what bus shelters could look like. *"We've been thinking about how to move away from the commodity 'glass box', and instead think about how bus shelters can be innovative, community-enhancing products,"* Codispodi shared. The best ideas for AROW tend to be ones that deliver on the firm's values of "return on service" – not aftermarket service, but rather exceptional customer service and solutions tailored to customer needs, through the full cycle from sales to product delivery.

While the firm is open to a range of options, there are some practical limitations:

1. **They typically avoid structural and architectural products** with highly complex engineering requirements.
2. **They seek to avoid crowded 'red ocean' markets.** For example, they were once in the recreational vehicle market (the 'R' in AROW stands for RVs), but found that the margins were too slim and the market too crowded.
3. **They are already in the process of developing new bus shelter products.** Your proposal should not focus on bus shelters.
4. **They have a bias toward business-to-business sales.** They are open to direct sales to consumers. However, any solution focused on direct sales to end consumers would need to consider how to build the sales and marketing capacity to do so. Their current organization is structured and staffed to act on B2B opportunities.
5. **They are reluctant about opportunities involving smart devices or products with integrated electronics.** This is not a hard line, but the firm has explored and rejected a number of 'smart glass' opportunities for lack of the necessary technical and product-development expertise.
6. **Proximal markets are more appealing than distant ones.** While the firm has good logistics and shipping partners, their products need to be shipped by truck or rail from their Manitoba or Wisconsin facilities. The firm's usual approach focuses on products that can be shipped within a day or two from their production lines. *"We're not closed to the idea of international markets,*

but our strength isn't moving things around the world," Codispodi explained.

In conclusion, our case judges, including AROW staff and leadership team members, are excited to hear your ideas and recommendations for new product, market, and/or industry/sector opportunities to pursue. These ideas should take advantage of AROW's distinct competencies in metal, glass, and CNC.

Please consult the competition rules provided to your team. You may (and should) conduct outside research and use other sources of information beyond those provided in the case. <u>However, teams are strictly prohibited from contacting or speaking with AROW's staff, partners, suppliers, or customers directly</u>